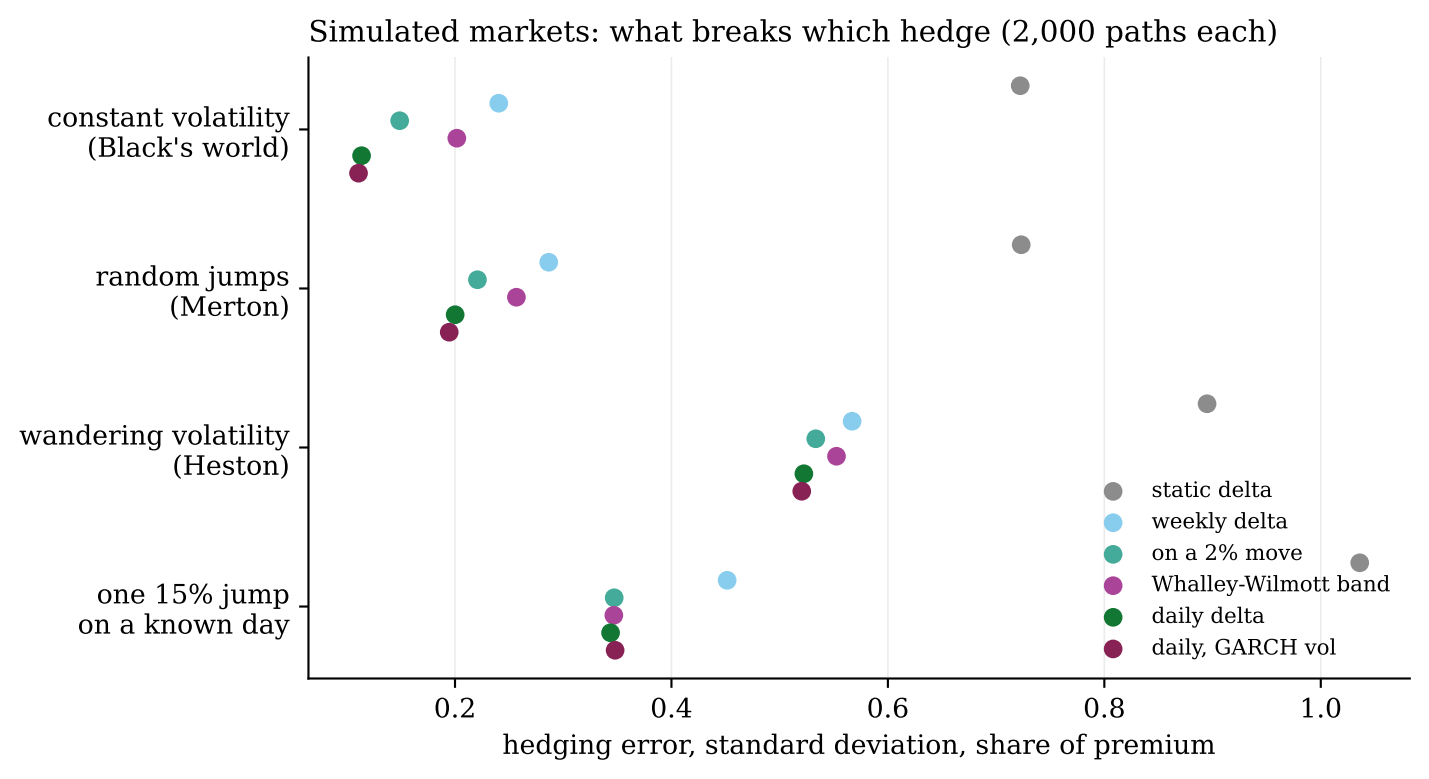
Simulated markets: what breaks which hedge (2,000 paths each)
constant volatility (Black's world)
random jumps (Merton)
wandering volatility (Heston)
one 15% jump on a known day
static delta
weekly delta
on a 2% move
Whalley-Wilmott band
daily delta
daily, GARCH vol
0.2
0.4
0.6
0.8
1.0
hedging error, standard deviation, share of premium